

who has advised the family for 43 years, and Goudet, 59.” It likely cost the family somewhere between \$13 to 17 billion in missed gains.

Unimpressive performance leading to an accumulation of more than \$1 billion? “It’s a rare example of executives who’ve made 10-figure fortunes by managing another family’s riches.” Bloomberg’s writers emphasize that there’s no indication of wrongdoing by either advisor.

I would phrase it differently: Any advisor who manages to siphon off a billion dollars in personal compensation while wildly underperforming their benchmarks is more interested in their own financial well-being than that of their clients.

A Latin phrase comes to mind: *Res ipsa loquitur*, or the thing speaks for itself.



You don’t need to be a billionaire to trust the wrong people.

In the spring of 2008, Paul and Sue Rosenau of Waseca, Minneapolis, won a \$59.6 million (after-tax) Powerball jackpot. With their winnings, the devout Lutherans—Paul was the son of a pastor—created a nonprofit organization, now known as the Rosenau Family Research Foundation, to treat and support children with Krabbe disease. Their granddaughter Makayla had died five years earlier of the disease. Putting nearly half of their windfall—\$26.4 million—into the nonprofit was an easy decision.

They were inexperienced investors, so they hired John Priebe, a local insurance agent who worked for Principal Securities, to help manage the family’s and the foundation’s money.

The red flags began to show up almost immediately. As Jason Zweig reported in the *WSJ*,²⁷⁸ “Only weeks after their Powerball score, the Rosenaus were flown on a private plane[!?!] with Priebe to Principal’s headquarters, where they met with senior management and ‘everybody but the janitor.’”